

6406535117383. ✔ Payments grow over time

6406535117384. ✖ Payments are delayed over time

Question Number : 40 Question Id : 6406531528419 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Which of the following is a reason for preferring short-term bonds over long-term bonds?

Options :

6406535117385. ✔ Faster ability to reinvest at new rates

6406535117386. ✖ Higher exposure to interest rate changes

6406535117387. ✖ Higher default risk

6406535117388. ✖ Lower coupon payments

Financial Forensics

Section Id :	640653106074
Section Number :	3
Section type :	Online
Mandatory or Optional :	Mandatory
Number of Questions :	23
Number of Questions to be attempted :	23
Section Marks :	25
Display Number Panel :	Yes
Section Negative Marks :	0
Group All Questions :	No
Enable Mark as Answered Mark for Review and Clear Response :	No
Section Maximum Duration :	0
Section Minimum Duration :	0
Section Time In :	Minutes
Maximum Instruction Time :	0
Sub-Section Number :	1
Sub-Section Id :	640653245087
Question Shuffling Allowed :	No

Question Number : 41 Question Id : 6406531528420 Question Type : MCQ

Correct Marks : 0

Question Label : Multiple Choice Question

THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : FINANCIAL FORENSICS (COMPUTER BASED EXAM)"

ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?
CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE TOP FOR THE SUBJECTS REGISTERED BY YOU)

Options :

6406535117389. ✓ YES

6406535117390. ✗ NO

Sub-Section Number :

2

Sub-Section Id :

640653245088

Question Shuffling Allowed :

Yes

Question Number : 42 Question Id : 6406531528421 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

The Slugger and K Corporation produces custom-made dog toys. During the current fiscal year, Slugger and K had revenues of \$460,000 and cost of goods sold of \$310,000. The company pays 36 percent in taxes. What was Slugger and K's net income in the current fiscal year?

Options :

6406535117391. ✗ \$460,000

6406535117392. ✗ \$150,000

6406535117393. ✓ \$96,000

6406535117394. ✗ \$354,000

Question Number : 43 Question Id : 6406531528422 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Beacon, Incorporated reported the following amounts at the end of the first year of operations:

Common stock	\$ 316,000
Sales revenue	\$ 1,264,000
Total assets	\$ 948,000
Dividends declared	\$ 68,000
Total liabilities	\$ 330,000

What are the retained earnings of Beacon at the end of the year, and what amount of expenses were incurred during the year?

Options :

6406535117395. ✓ Retained earnings are \$302,000 and expenses incurred totaled \$894,000.

6406535117396. ✗ Retained earnings are \$302,000 and expenses incurred totaled \$962,000.

6406535117397. ✗ Retained earnings are \$618,000 and expenses incurred totaled \$646,000

6406535117398. ✖ Retained earnings are \$618,000 and expenses incurred totaled \$934,000.

Question Number : 44 Question Id : 6406531528423 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following best describes the balance sheet?

Options :

6406535117399. ✖ It includes the amount of revenues minus expenses for the period.

6406535117400. ✖ It includes three primary categories of cash flows.

6406535117401. ✔ It provides information pertaining to a company's economic resources and the sources of financing for those resources.

6406535117402. ✖ It provides information pertaining to a company's liabilities for a period of time.

Question Number : 45 Question Id : 6406531528424 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following would **not** be found on the statement of cash flows?

Options :

6406535117403. ✔ Cost flow from manufacturing activities.

6406535117404. ✖ Cash flow from operating activities.

6406535117405. ✖ Cash flow from investing activities.

6406535117406. ✖ Cash flow from financing activities.

Question Number : 46 Question Id : 6406531528425 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Duck Corporation's retained earnings increased \$41,200 during the current year. What was Duck's current year net income or loss given that Duck declared \$51,200 of dividends during this year?

Options :

6406535117407. ✖ Net income was \$10,000.

6406535117408. ✔ Net income was \$92,400.

6406535117409. ✖ Net loss was \$92,400.

6406535117410. ✖ Net loss was \$10,000.

Question Number : 47 Question Id : 6406531528426 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following equations best describes the income statement?

Options :

6406535117411. ✖ Assets – Liabilities = Stockholders' Equity

6406535117412. ✖ Net income = Revenues + Expenses

6406535117413. ✔ Net income = Revenues – Expenses

6406535117414. ✖ Retained earnings = Net Income + Dividends

Question Number : 48 Question Id : 6406531528427 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Kelly Tiles Incorporated has provided the following data for its 2024 operations (ignore income taxes):

2024 revenues were \$149,000.

2024 expenses were \$72,700.

Dividends declared and paid during 2024 totaled \$14,500.

Total assets at December 31, 2024 were \$305,000.

Total liabilities at December 31, 2024 were \$150,000.

Common stock at December 31, 2024 was \$35,000.

Which of the following is correct?

Options :

6406535117415. ✖ 2024 net income was \$61,800.

6406535117416. ✖ Total stockholders' equity at December 31, 2024 was \$318,000.

6406535117417. ✔ Retained earnings at December 31, 2024 were \$120,000.

6406535117418. ✖ Retained earnings at December 31, 2024 were \$61,800.

Question Number : 49 Question Id : 6406531528428 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Total assets are \$37,500, total liabilities are \$20,000 and common stock is \$10,000; therefore, retained earnings are \$7,500.

Options :

6406535117419. ✔ True

6406535117420. ✖ False

Question Number : 50 Question Id : 6406531528429 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

For the current year, net income of Carol Company is \$20,000 and dividends declared are \$6,000; therefore, retained earnings have increased \$26,000 during the year.

Options :

6406535117421. ✖ True

6406535117422. ✔ False

Question Number : 51 Question Id : 6406531528430 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

The amount of cash paid by a business for dividends would be reported as an operating activity cash flow on the statement of cash flows.

Options :

6406535117423. ✖ True

6406535117424. ✔ False

Question Number : 52 Question Id : 6406531528431 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

When would a company report a net loss on the income statement?

Options :

6406535117425. ✖ When revenues are less than the sum of expenses plus dividends during an accounting period.

6406535117426. ✖ If assets decreased during an accounting period.

6406535117427. ✖ If liabilities increased during an accounting period.

6406535117428. ✔ When expenses exceeded revenues for an accounting period.

Question Number : 53 Question Id : 6406531528432 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following would immediately cause a change in a corporation's retained earnings?

Options :

6406535117429. ✔ Net income or net loss and declaration of dividends.

6406535117430. ✖ Declaration of dividends and issuance of common stock to new stockholders.

6406535117431. ✖ Net income and issuance of stock to new stockholders.

6406535117432. ✖ Declaration of dividends and purchase of new machinery.

Question Number : 54 Question Id : 6406531528433 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following would most likely increase retained earnings?

Options :

6406535117433. ✖ An increase in expenses.

6406535117434. ✔ An increase in revenues.

6406535117435. ✖ Declaring a cash dividend.

6406535117436. ✖ Issuing additional common stock.

Question Number : 55 Question Id : 6406531528434 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following transactions increases both cash and net income?

Options :

6406535117437. ✖ Cash receipts from a bank loan.

6406535117438. ✖ Cash receipts from sale of common stock.

6406535117439. ✔ Cash receipts from customers for services provided.

6406535117440. ✖ Cash payments for cost of goods sold.

Question Number : 56 Question Id : 6406531528435 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

A calendar year reporting company preparing its annual financial statements should use the phrase "At December 31, 2024" in the heading of which financial statement(s)?

Options :

6406535117441. ✖ On all of the required financial statements.

6406535117442. ✖ On the income statement only.

6406535117443. ✖ On the income statement and balance sheet, but not the statement of cash flows.

6406535117444. ✔ On the balance sheet only.

Question Number : 57 Question Id : 6406531528436 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following properly describes the impact on the financial statements when a company borrows \$20,000 from a local bank?

Options :

6406535117445. ✖ Net income increases \$20,000.

6406535117446. ✖ Assets decrease \$20,000.

6406535117447. ✖ Stockholders' equity increases \$20,000.

6406535117448. ✔ Liabilities increase \$20,000.

Question Number : 58 Question Id : 6406531528437 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following statements is correct regarding activities and how they impact financial statements?

Options :

6406535117449. ✖ The payment of a cash dividend reduces net income.

6406535117450. ✔ Cash received from issuing common stock to stockholders is reported as a financing activity cash flow within the statement of cash flows.

6406535117451. ✖ Providing services to a customer on account does not impact net income.

6406535117452. ✖ The purchase of manufacturing equipment is reported within the statement of cash flows as a financing activity.

Question Number : 59 Question Id : 6406531528438 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Husky Company has provided the following information for its most recent year of operation:

Cash collected from customers totaled \$91,100.

Cash borrowed from banks totaled \$35,300.

Cash paid to employees for salaries totaled \$33,900.

Cash received from selling Husky common stock to stockholders totaled \$59,000.

Cash payments to banks for repayment of money borrowed totaled \$9,300.

Cash paid to suppliers totaled \$14,300.

Land costing \$37,000 was sold for \$37,000 cash.

Cash paid for dividends to stockholders totaled \$5,100.

How much was Husky's cash flow from operating activities?

Options :

6406535117453. ✖ \$47,500

6406535117454. ✔ \$42,900

6406535117455. ✖ \$35,900

6406535117456. ✖ \$31,700

Question Number : 60 Question Id : 6406531528439 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following statements regarding income is correct?

Options :

6406535117457. ✔ Revenues are reported on the income statement regardless of whether the customer has paid for the goods or services.

6406535117458. ✖ Expenses are reported on the income statement during the period they are paid for.

6406535117459. ✖ Net income includes a deduction for dividend payments made to stockholders.

6406535117460. ✖ Net income normally equals the net cash generated by operations.

Question Number : 61 Question Id : 6406531528440 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following transactions affects both the income statement and the statement of cash flows?

Options :

6406535117461. ✖ Selling stock in exchange for cash.

6406535117462. ✖ Declaring and paying a cash dividend.

6406535117463. ✖ Selling a product to a customer which creates an account receivable.

6406535117464. ✔ Paying employee salaries as they are earned.

Question Number : 62 Question Id : 6406531528441 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

During the current year, Rock Company's cash balance increased from \$79,000 to \$91,300. Rock's net cash flow from operating activities was \$37,300 and its net cash flow from financing activities was \$11,100. How much was Rock's net cash flow from investing activities?

Options :

6406535117465. ✖ A net cash flow of \$42,900.

6406535117466. ✔ A net cash flow of (\$36,100).

6406535117467. ✖ A net cash flow of \$60,700.

6406535117468. ✖ A net cash flow of (\$60,700).

Sub-Section Number :

3

Sub-Section Id :

640653245089

Question Shuffling Allowed :

No

Question Id : 6406531528442 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (63 to 66)

Question Label : Comprehension

Answer the given subquestions based on the information below:

Fulton Company was established at the beginning of 2024 when several investors paid a total of \$200,000 to purchase Fulton common stock. No additional investments in common stock were made during the year. By December 31, 2024, Fulton had cash on hand of \$45,000, office equipment of \$40,000, inventory of \$156,000, and accounts payable of \$10,000. Sales for the year were \$812,000. Of this amount, customers still owed \$20,000. Fulton declared and paid dividends of \$25,000 to its stockholders during 2024.

Sub questions

Question Number : 63 Question Id : 6406531528443 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

What is the Asset of the company as 31st, December 2024 (in \$)?

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

261000

Question Number : 64 Question Id : 6406531528444 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

What is the Liability of the company as 31st, December 2024 (in \$)?

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

10000

Question Number : 65 Question Id : 6406531528445 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

What is the Retained earnings of the company as 31st, December 2024 (in \$)?

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

51000

Question Number : 66 Question Id : 6406531528446 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

Net income of the company for the given duration is _____. (in \$)

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText